support it. Debt must be paid down, not increased.

Markets generally eliminate debts quickly. Sometimes roughly. When investors become concerned that a counterparty is no longer good for the money, they do not wait for Humpty to fall off the wall—they push him. No one wants to be left holding the weak debtor's paper. But more than that, they also try to figure out to whom the debtor owes money and sell his paper, too. And they sell even the debtor's solid assets, figuring that he will be forced to sell them himself, driving down the price. Lions show a wounded wildebeest more mercy. If the debtor is known to own shares in a small company, for example, they sell the shares. This reduces the value of the debtor's remaining good assets at the very moment he needs them most. And if he needs to borrow more money to stay afloat, his interest rates rise—making it harder than ever for him to make ends meet. In a matter of minutes, the poor fellow—be he an individual, a bank, a company, or an entire nation—is wiped out. His paper—his IOUs—are worthless.

That is the grim process that central financial planners seek to avoid. Not that there is a good reason, economically, to do so. On the contrary, the quick cleansing is probably the best way for the economy to get back on its feet as soon as possible. But voters don't like the feeling that the economy is out of control. And, of course, central banks look out for their member banks, which are the very banks the system usually needs to get rid of.

On the evidence, central financial authorities will go to almost any lengths to avoid letting nature take care of a debt problem. They will lend promiscuously. They will pass decrees and enact laws to prevent short-selling, bank runs, price increases, or whatever else they think will help. In the end, they will print money.

People rarely experimented with a pure paper money system. Their intuition told them it was a bad idea. So what happened when they tried it? Though the historical record is short, at least it is clear: No paper money system ever lasted through an entire credit cycle.

And so here we are. We have entered the challenging part of the credit cycle. We have a paper money system doomed largely by its own success. It has run for 40 years. It has allowed huge imbalances to build up, as well as the huge run-up in private- and public-sector debt. What will happen as the deleveraging downstroke runs its course?